

earlier in connection with rising emerging market imports of commodities, such as iron ore. High freight rates had sparked a shipbuilding boom in the three to four years preceding the financial crisis. In 2010, new capesize freighters hitting the water equaled almost 20 percent of the global installed base. Fleet capacity is on track to increase by a similar amount in 2011. We concluded that, even if China had to source 100 percent of its marginal growth through seaborne freight markets, there was no way demand could come close to absorbing the dry bulk capacity coming on line.

So, ironically, you were looking at the dry bulk shippers as a potential buy, but once you dug into the fundamentals, you concluded they were actually a sell.

Yes, and not only a sell, but our highest conviction short trade in 2011.

Did you then go short the dry bulk shippers?

It is hard to see any circumstances in which we would go outright short a stock—your gain is limited, your loss is unlimited, and your exposure grows as you are wrong. Instead, we bought out-of-the-money puts on some of the dry bulk ship operators. When rising implied volatilities made those premiums prohibitively expensive, we shifted toward in-the-money puts to reduce the time value decay.



There are five main pillars to Mai's investment strategy:

1. Find mispricings in a theoretically priced world. Mai seeks to identify trade opportunities that arise because prices, particularly for derivatives, are based on one of a number of standard pricing assumptions that may be entirely inappropriate based on the specific circumstances applicable to the given market. When these assumptions are unwarranted, they create mispricings and trading opportunities.

2. Select trades in which the probabilities appear to be significantly skewed to a positive outcome. As a general rule of thumb, Cornwall requires that the estimated gain if the trade succeeds multiplied by the probability of a positive outcome must be at least twice as large as the estimated loss if the trade fails multiplied by the probability of a